

FX Daily: Continued optimism meets central bank rate check

The week starts with risk assets on the front foot. Weekend reports suggest a new proposal from Iran to extend the ceasefire, keeping hopes alive of a negotiated end to the Middle East crisis. Gains may be held in check, however, by central bank rate meetings around the world. Here, policymakers need to talk tough. We doubt the dollar needs to sell off too far



Policymakers will need to talk tough in this week's incoming round of central bank meetings

➔ USD: Reasons to be cheerful

The dollar opens the week on a slightly offered footing as investors remain positioned for the positives. An Axios report overnight that Iran has submitted a new proposal to open the Strait of Hormuz is being welcomed as a new chapter on an otherwise bumpy path to a negotiated settlement. Additionally, news Friday afternoon that US Senator Thom Tillis will allow the Senate Banking Committee to vote on Kevin Warsh's nomination to Federal Reserve Chair is also being seen as a positive for risk assets now that the Department of Justice has dropped its criminal probe of the Fed's renovation. Equities, especially tech-sensitive equity benchmarks in Korea and Taiwan, have seen gains in Asia and equity futures are called modestly higher in Europe and the US.

However, oil remains bid and interest rates remain elevated as investors question how central banks react to this stagflationary shock. All will be evident this week with updates on 1Q26 GDP, inflation and central bank rate meetings around the world. At the heart of that will be the US, where the FOMC delivers its update on Wednesday. Please see our preview [here](#). Faced with rising energy prices and higher inflation, and both consumption and employment holding up, the Fed will have to tread carefully to avoid making the mistakes of 2022. There is no way the Fed is in a position to signal the 'all-clear' on inflation, and with equity markets at their highs, the Fed may be inclined to warn of the need for rates to stay unchanged for longer. We see that as a mild dollar positive.

Regarding the US calendar outside of the FOMC, we'll see consumer confidence tomorrow and the Fed's preferred inflation measure, core PCE, on Thursday, as well as the first look at 1Q26 GDP. GDP is expected to bounce back to 2.2% quarter-on-quarter annualised from a government shutdown-weighted 0.5% reading in 4Q25.

DXY is offered again on the Iranian news, but with oil prices staying high and central banks yet to react, we caution against chasing it lower again too soon. On a quiet Monday, we do not expect it to stray too far from the 98.50 area.

Chris Turner

➔ EUR: Tight ranges

The highlight of the eurozone calendar this week will be Thursday's European Central Bank meeting. The stagflationary shock of the oil crisis is already starting to show up in [European data](#), and while not hiking rates on Thursday, the ECB will still have to present a strong message that a rate hike is on the table. With high oil prices keeping inflation expectations at their highest (e.g., two-year EUR inflation expectations derived via the inflation swap are still above 2.80%), any signs that the ECB is looking through the inflation spike could see the euro punished. [That is not our call](#), and we feel that a strong warning over a June rate hike can keep EUR/USD supported near 1.1700 this week.

Chris Turner

➔ JPY: Risks of a BoJ rate hike are underpriced

Given so many global risks at present, it seems strange that USD/JPY has been able to trace out mostly a two yen trading range through the month of April. One week realised volatility near 5% is exceptionally low. The Fed and Bank of Japan rate meetings, plus a whole host of data and presumably geopolitical risk, warn of a possible USD/JPY breakout this week.

For tomorrow morning's Bank of Japan rate meeting, our [economists warn](#) that the risk of a BoJ rate hike is underpriced. Indeed, a hike would be a complete surprise to the market. The BoJ also released an updated Outlook for Economic Activity and Prices, which could see inflation forecasts revised higher, with the growth outlook being cut. Barring a surprise hike and our view that the Fed meeting could be slightly positive for the dollar, plus oil prices remaining high, USD/JPY could have all the ingredients for an upside breakout this week.

Close to 160.50 is this year's high. The risk is of a move to the 2024 high of 162, accompanied by higher traded volatility as investors brace for possible Japanese FX intervention.

Chris Turner

CEE: Waiting for signals from the economy

The CEE region should be more visible this week compared to a quiet last week. On Tuesday, [the National Bank of Hungary](#) will decide on rates for the first time since the general election. At 6.25%, they should remain unchanged, and attention will be on forward guidance amid the energy shock – but also significantly stronger FX in response to the election result.

Later in the week, we will see concentrated data prints across the region on Thursday. According to our estimates, inflation in Poland ticked down from 3.1% to 3.0%, while core inflation remains unchanged at 2.7%. In the Czech Republic, we also expect that first-quarter GDP slowed slightly from 0.7% to 0.5% quarter-on-quarter, while the same measure in Hungary accelerated from 0.2% to 0.8%.

Outside the calendar, we will continue to monitor the steps of the incoming government in Hungary after the April general election and its possible approach to fiscal policy, EU funds and price caps, amongst others. On Wednesday, the incoming PM will discuss EU funds in Brussels.

In the Czech Republic, a blackout period begins on Thursday before the Czech National Bank meeting next week. We have heard some hawkish comments from the bank board, but we've also seen signs of an intention to look through higher energy prices; we could hear something similar this week as well.

CEE FX remains stable despite significant volatility in rates and global headlines. EUR/PLN and EUR/CZK seem to be strongly bound in ranges of 4.220-250 and 24.250-400, which will likely not change much this week either. The forint will watch the National Bank of Hungary's press conference, which could show some forward guidance. The market is pricing in about one to two rate cuts in the 12-18 month horizon, and the risk is therefore rather on the hawkish side, in our view – which could help EUR/HUF lower again after we saw some correction of previous gains last week. However, unless we see a visible calming of the geopolitical situation, we will probably not test 360 this week.

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